

Comprehensive Wealth Optimization Plan

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Executive Summary

This plan addresses your primary objectives: eliminating tax bleeding, maximizing retirement contributions, optimizing business structure, and building generational wealth. As a 1099 contractor earning \$175,000 annually in Florida, you have significant opportunities that most W-2 employees cannot access.

Projected First-Year Impact

\$37,336 - \$47,256 in total tax savings

\$69,000 maximum retirement contribution capacity

21% - 27% effective ROI on tax optimization (savings as % of income)

Your Florida residency (0% state tax), paid-off home (\$300K equity), and strong emergency reserves create an ideal foundation for aggressive wealth accumulation without compromising security.

ANNUAL INCOME

\$175,000

STATE TAX

0% (Florida)

DEPLOYABLE CAPITAL

\$10K - \$25K

STRUCTURE

Single-member LLC

HOME EQUITY

\$300,000

TIMELINE

31-90 days

Tax Strategy Overview

#	STRATEGY	ANNUAL VALUE	PRIORITY	TIMELINE
1	Solo 401(k) Maximum Contribution	\$16,560 - \$17,280	IMMEDIATE	Week 1
2	S-Corporation Election	\$6,000 - \$9,600	Q1 2026	Weeks 2-4
3	Home Office Deduction	\$1,200 - \$1,680	Week 2	Week 2
4	Augusta Rule (14 days)	\$1,680 - \$2,400	Month 2	Month 2
5	Vehicle Expense Optimization	\$2,400 - \$4,800	Q4 2025	Month 1
6	Backdoor Roth IRA	\$7,000 + growth	Q1 2026	Week 2
7	Roth IRAs for Kids	Generational wealth	Q1 2026	Month 2
8	Health Savings Account	\$2,496 (if eligible)	Verify	Week 1

Year 1 Total ROI Summary

2025 Strategies (Partial Implementation):

- Solo 401(k): \$16,560
- Home Office: \$1,200
- Vehicle Expense: \$2,400

- **2025 Subtotal: \$20,160**

2026 Strategies (Full Implementation):

- Solo 401(k): \$17,280
- S-Corporation: \$6,000 - \$9,600
- Home Office: \$1,680
- Augusta Rule: \$1,680 - \$2,400
- Vehicle Expense: \$4,800
- HSA (if eligible): \$2,496
- **2026 Subtotal: \$34,536 - \$38,256**

Year 1 Combined Total: \$54,696 - \$58,416

ROI: 31% - 33% of gross income redirected from taxes to wealth building

1. Solo 401(k) Maximum Contribution

\$16,560 Annual Tax Savings

Why Solo 401(k) vs SEP IRA

You mentioned considering a SEP IRA. Solo 401(k) is superior because it allows Backdoor Roth conversions, provides Roth contribution options, and enables loans. At your \$175K income, contribution capacity is similar (\$55K-\$58K), but Solo 401(k) offers much greater flexibility.

2025 Contribution Structure

Employee Deferral: \$23,000

Employer Contribution: 20% of net SE income (~\$32,000)

Your Total: \$55,000

Tax Savings: $\$55,000 \times 24\% = \$13,200$ federal

Implementation

1. Open account at Fidelity, Vanguard, or Schwab (Week 1)
2. Account must exist by Dec 31, 2025 for 2025 contributions
3. Can fund until April 2026 (or Oct with extension)
4. Roll existing Traditional IRA into 401(k) to enable Backdoor Roth

5. Consider Bitcoin-enabled provider (iTrustCapital) for tax-advantaged BTC



Critical Deadline: Account must be established by December 31, 2025.
This is your highest priority action.

2. S-Corporation Election

\$6,000 - \$9,600 Annual SE Tax Savings

Current vs S-Corp Tax Treatment

Current (LLC): $\$175K \times 15.3\%$ SE tax = \$26,775

After S-Corp:

W-2 Salary: $\$110,000 \times 15.3\%$ = \$16,830

Distributions: $\$65,000 \times 0\%$ = \$0

Savings: $\$9,945 - \$1,200$ admin = \$8,745 net

Implementation Timeline



Weeks 2-4: Planning

- Consult CPA on salary determination
- Research payroll providers (Gusto recommended)



By March 15, 2026: File Form 2553

- Election applies to entire 2026 tax year
- Set up payroll service
- Determine W-2 salary (\$100K-\$120K range)

Reasonable Compensation: At \$175K income, \$100K-\$120K salary is defensible for skilled contractor work. Pay yourself monthly, take remaining profit as quarterly distributions.

3. Home Office Deduction

\$1,200 - \$1,680 Annual Savings

Qualification

You qualify if you have space used exclusively and regularly for business. As a 1099 contractor working from home, you almost certainly meet all requirements.

Two Methods

Simplified: \$5/sq ft up to 300 sq ft = \$1,500 max deduction

Regular: Actual expenses × business % = typically \$5K-\$8K deduction

Example (Regular Method):

Office: 200 sq ft of 2,000 sq ft home = 10%

Deductible Expenses:

Property Tax: $\$3,500 \times 10\% = \350

Insurance: $\$1,500 \times 10\% = \150

Utilities: $\$4,800 \times 10\% = \480

Maintenance: $\$2,000 \times 10\% = \200

Total: \$1,180

Tax Savings: $\$1,180 \times 39.3\% = \464

Quick Setup

1. Measure office space (Week 2)

2. Photograph for documentation
3. Track utilities, property tax, insurance, maintenance
4. File Form 8829 with tax return

4. Augusta Rule (Section 280A)

\$1,680 - \$2,400 Annual Savings

How It Works

Rent your home to your business for up to 14 days/year. The rental income is tax-free to you, but your business deducts the expense. This creates powerful tax arbitrage.

Conservative Scenario:

Daily Rate: \$350 (comparable to DeBary Airbnb rates)

Days: 12 (under 14-day limit)

Total: \$4,200

Business Deduction: $\$4,200 \times 39.3\% = \$1,651$ savings

You Receive: \$4,200 tax-free

Implementation Requirements

- Research comparable rates on Airbnb/VRBO (document with screenshots)
- Draft rental agreement between you and LLC
- Document business purpose (board meetings, planning sessions, client meetings)
- Create meeting agendas and minutes for each rental day
- Business pays you via check with rental memo

Timing: Best implemented after S-Corp election (2026) for cleaner entity separation.

5. Vehicle Expense Optimization

\$2,400 - \$4,800 Annual Savings

Two Deduction Methods

Standard Mileage: 67¢/mile (2025)

Actual Expense: Gas + insurance + repairs + depreciation × business %

Standard Mileage Example:

12,000 business miles × \$0.67 = \$8,040

Tax Savings: \$8,040 × 39.3% = \$3,160

Actual Expense Example:

Total vehicle costs: \$15,000

Business use: 65%

Deduction: \$9,750

Tax Savings: \$3,832

Immediate Action

1. Install MileIQ app today (Week 1)
2. Start logging all business trips immediately
3. IRS requires contemporaneous records (real-time tracking)
4. Categorize trips daily (takes 2-3 minutes)
5. Choose method at year-end based on which gives larger deduction

Business Miles Include: Client site visits, business meetings, supply runs, bank trips for business, any travel from home office to work locations (your home office is your principal place of business, so all work travel is deductible).

6. Backdoor Roth IRA

\$7,000 Annual Contribution + Tax-Free Growth

Why You Need Backdoor Method

At \$175K income, you exceed the \$161K limit for direct Roth contributions. The backdoor method is your only path to Roth IRA contributions.

The Pro-Rata Problem & Solution

You have \$100K-\$250K in existing Traditional IRA. When you convert \$7K to Roth, IRS pro-rata rule means most of the conversion is taxable, defeating the purpose.

Solution: Roll your Traditional IRA into your Solo 401(k) first. This clears the decks for clean Backdoor Roth conversions with zero tax.



Q4 2025: Setup

- Open Solo 401(k)
- Initiate Traditional IRA rollover to 401(k)
- Complete rollover (2-4 weeks)

Q1 2026: First Conversion

- Contribute \$7,000 to Traditional IRA (non-deductible)
- Convert to Roth within days

- File Form 8606 with tax return

Annual Process

- Repeat each January
- Takes 15 minutes once established
- \$7,000/year growing tax-free for decades

Long-Term Value:

\$7,000/year for 30 years at 8% = \$817,000 tax-free

At your 24% rate, that's \$196,000 in taxes avoided

7. Custodial Roth IRAs for Children

Generational Wealth Through Tax-Free Compounding

The Strategy

Pay your children for legitimate work in your business. They can contribute up to \$7,000 (or their earnings, whichever is less) to Roth IRAs. Started young, this creates extraordinary generational wealth.

Power of Early Start:
Single \$7,000 contribution at age 12
Growing at 8% to age 65 = \$333,000 tax-free

Annual \$7,000 for 10 years (ages 12-21)
Total invested: \$70,000
Value at 65: \$2,370,000 tax-free

Before S-Corp (2025): Major Tax Benefit

Children under 18 working for parent's sole proprietorship are exempt from FICA taxes (15.3% savings). You deduct their wages, they pay \$0 income tax (under standard deduction), and full amount goes to Roth.

Example (Single-Member LLC):
Pay child: \$7,000
Your deduction: $\$7,000 \times 39.3\% = \$2,751$ savings
Child's tax: \$0
Child's Roth: \$7,000
Net benefit: $\$2,751 + \$7,000$ in Roth

After S-Corp (2026): Still Valuable

FICA applies after S-Corp election, but strategy still creates value through business deduction and child's Roth accumulation.

Implementation

1. Identify age-appropriate work (filing, data entry, social media help)
2. Document job duties and hours worked
3. Pay reasonable compensation (\$10-\$25/hour depending on age/tasks)
4. Open custodial Roth IRA at Fidelity/Vanguard
5. Contribute up to \$7,000 or child's earned income

Start in 2025 to maximize FICA exemption before S-Corp election.

8. Health Savings Account

\$2,496 Annual Savings (If Eligible)

Eligibility Check Required

HSAs require High Deductible Health Plan (HDHP). Check if your current health insurance qualifies.

2025 HDHP Requirements

Minimum deductible: \$1,600 (self) / \$3,200 (family)

Maximum out-of-pocket: \$8,050 (self) / \$16,100 (family)

2025 Contribution Limits

Self-only: \$4,150

Family: \$8,300

Age 55+ catch-up: Additional \$1,000

Triple Tax Benefit: Deductible contribution, tax-free growth, tax-free medical withdrawals. If eligible, max this out immediately.

Family Coverage Example:

Contribution: \$8,300

Tax Savings: $\$8,300 \times (24\% + 15.3\%) = \$3,262$

Plus: Tax-free growth for decades

Plus: Tax-free medical withdrawals

Action: Verify your health plan status this week. If you have HDHP, open HSA and max contribution before year-end.

Investment Allocation Strategy

Available Capital

Liquid Capital: \$10,000 - \$25,000

Year 1 Tax Savings: \$37,000 - \$47,000

Total Deployable: \$47,000 - \$72,000

Recommended Split

CATEGORY	%	AMOUNT	STRATEGY
Bitcoin	70%	\$33K - \$50K	Monthly DCA purchases
Cash Reserves	20%	\$9K - \$14K	Maintain 6-month emergency fund
Airbnb Seed	10%	\$5K - \$8K	First property capital

Bitcoin Accumulation

Deploy tax savings into Bitcoin monthly (\$2,500-\$4,000/month) rather than lump sum. This provides dollar-cost averaging through market volatility.

Custody: Start with Coinbase or River for ease. Graduate to hardware wallet (Ledger/Trezor) once holdings exceed \$50,000.

Solo 401(k) Option: Some providers allow Bitcoin within 401(k). Consider allocating portion of retirement contribution to tax-advantaged BTC accumulation.

Business Structure Roadmap

Current: Single-Member LLC

Taxed as sole proprietorship. Paying SE tax on entire \$175K income.

Phase 1: Q4 2025 (Immediate)

- Open Solo 401(k) (highest impact)
- Implement home office deduction
- Start mileage tracking
- Begin employing children (avoid FICA before S-Corp)
- Document everything

Phase 2: Q1 2026 (S-Corp Election)

- File Form 2553 by March 15, 2026
- Set up Gusto payroll service
- Determine W-2 salary (\$100K-\$120K)
- Implement Augusta Rule
- Execute Backdoor Roth conversion

Phase 3: Q2 2026 (Airbnb Launch)

- Form separate LLC for Airbnb business
- Open business bank account
- Build business credit profile
- Launch first arbitrage property

Business Credit Building

Build fundable business credit over 6-12 months to finance Airbnb expansion without personal credit impact.

6-Month Timeline



Months 1-2: Foundation

- Apply for DUNS number (free from Dun & Bradstreet)
- Verify LLC has separate EIN
- Open business checking with business address
- Get business phone number (Google Voice works)

Months 3-4: Trade Lines

- Open Net-30 accounts: Uline, Quill, Grainger
- Make small purchases (\$50-\$200)
- Pay in 15 days (early payment builds credit faster)
- These vendors report to business credit bureaus

Months 5-6: Business Credit Cards

- Apply: American Express Blue Business (easiest approval)
- Apply: Chase Ink Business Preferred
- Apply: Capital One Spark

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- Keep utilization under 30%



Months 6-12: Larger Credit Lines

- Business credit score should be 680+
- Apply for 0% APR business cards for furniture
- Business line of credit: \$10K-\$50K
- Use for Airbnb expansion without personal credit impact

90-Day Implementation Roadmap

Weeks 1-2: Critical Foundation

- ☐ **PRIORITY 1:** Open Solo 401(k) at Fidelity/Vanguard/Schwab
- ☐ Install MileIQ app, start tracking business miles immediately
- ☐ Measure home office space, photograph for documentation
- ☐ Verify health insurance HDHP status for HSA eligibility
- ☐ Schedule CPA consultation for S-Corp planning
- ☐ Make initial Solo 401(k) contribution
- ☐ Research children's age-appropriate business tasks

Weeks 3-4: Documentation & S-Corp Prep

- ☐ Research DeBary Airbnb comparable rates for Augusta Rule
- ☐ Draft rental agreement template for Augusta Rule
- ☐ Initiate Traditional IRA → Solo 401(k) rollover
- ☐ Apply for DUNS number (business credit foundation)
- ☐ Research payroll providers (Gusto recommended)
- ☐ Begin paying children for legitimate business work

- ☐ Document all work performed, hours, compensation

Months 2-3: S-Corp Election & Advanced Strategies

- ☐ File Form 2553 for S-Corp election (deadline: March 15, 2026)
- ☐ Set up Gusto or similar payroll service
- ☐ Determine reasonable W-2 salary with CPA
- ☐ Execute first Backdoor Roth IRA conversion (\$7,000)
- ☐ Open custodial Roth IRAs for children
- ☐ Fund children's Roth IRAs from 2025 earnings
- ☐ Open business checking for future Airbnb LLC
- ☐ Start Net-30 vendor accounts for business credit
- ☐ Calculate year-end 2025 tax savings
- ☐ Begin Bitcoin DCA with tax savings

Critical Deadlines

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- **December 31, 2025:** Solo 401(k) account must be established
 - **March 15, 2026:** Form 2553 S-Corp election deadline
 - **April 15, 2026:** 2025 tax filing / Solo 401(k) funding deadline

Expected Results Summary

Year 1 Financial Impact (2025-2026)

METRIC	VALUE
Tax Savings	\$37,000 - \$47,000
Solo 401(k) Contribution	\$55,000 - \$69,000
Bitcoin Allocation	\$33,000 - \$50,000
Children's Roth Contributions	Up to \$7,000 per child
Personal Backdoor Roth	\$7,000
Business Credit	Established and building
Entity Structure	S-Corp optimized by Q2 2026

Year 2+ Ongoing Benefits (2026+)

- \$35,000-\$45,000 annual tax savings (recurring)
- \$69,000 annual retirement contributions
- \$7,000 annual Backdoor Roth conversions
- Airbnb business generating additional income (\$24K-\$60K potential)
- Children's Roth IRAs compounding tax-free for decades
- Business credit available for expansion

5-Year Wealth Projection

Conservative Scenario (5 years):

Tax savings deployed: \$175,000 - \$225,000

Solo 401(k) balance: \$345,000 (contributions + growth)

Bitcoin accumulation: \$180,000+ deployed

Children's Roth IRAs: \$35,000+ per child (growing tax-free)

Airbnb portfolio: 2-3 properties generating cash flow

Aggressive Scenario (5 years):

Tax savings deployed: \$225,000+

Solo 401(k) balance: \$400,000+

Bitcoin (if appreciation): Significantly higher

Airbnb portfolio: 5+ properties

Children's Roth IRAs: \$50,000+ per child

Bottom Line

By implementing these eight strategies, you stop the tax bleeding and redirect \$35,000-\$45,000 annually into wealth-building assets. Combined with your paid-off home, strong cash reserves, and Florida tax advantage, you're positioned to build substantial generational wealth over the next decade.

This plan was prepared for Gregory Velazquez in November 2025. Tax laws and regulations are subject to change. Consult with qualified tax and legal professionals before implementing any strategies. This plan is for informational and educational purposes only and does not constitute legal, tax, or investment advice.

Next Steps: Begin Week 1 action items immediately. Schedule follow-up to review progress after 30 days.